

is a top contributor to water pollution, GHG emissions and landfills. Many textile companies have come up with ways to promote ESG. “Many brands have given their road map for the reduction of GHG emissions by 60 per cent by 2025, and Indian textile companies are doing their best to achieve the target,” says Arvind Mathur, CEO of Raymond UCO Denim. It runs a 100 per cent biological zero-liquid-discharge effluent treatment plant, and also manufactures denim using fibres made of post-consumer cotton waste and recycled PET bottles.

Then there’s Godrej & Boyce, the flagship company of the Godrej group, which operates in various verticals. It has started inventorying emissions for all categories, and aims to reduce absolute emissions by 63 per cent and carbon intensity—grams of CO₂ emitted per unit of electricity produced—by 60 per cent by 2034. Its initiatives include process improvement, introduction of energy efficient utilities and plant machinery, and reduction in value chain emissions. “Across units, we have already achieved reduction in specific energy and water consumption by 48 per cent and 57 per cent, respectively; 13 per cent RE use, and 53 per cent carbon neutrality,” says Raghavendra A. Mirji, Senior VP and Business Head of the Electricals & Electronics Division at Godrej & Boyce.

THE ROAD AHEAD

How do companies plan for net zero? They have to first measure emissions from direct (its own activities), and indirect (from purchased electricity and along the value-chain) sources. Once estimated, the next stage is to develop a strategy to reduce and finally eliminate these emissions. For instance, a company may find it easier to replace its cars with electric vehicles, or sign a con-



“There are several reasons to turn back... But given the urgency... organisations need to take a calculated leap towards net zero”

SUNIL DUGGAL
GROUP CEO AND CHIEF
SAFETY OFFICER, VEDANTA



“We have invested heavily into energy efficiency, renewable energy, and community-based carbon offset projects”

BOSE VARGHESE
HEAD, GREEN
INITIATIVES, INFOSYS



“A class of investors is looking at an ESG-friendly world. If corporates want to access those pools of capital, they need to move the needle on ESG”

RAHUL PRITHIANI
SENIOR DIRECTOR-ENERGY,
COMMODITIES AND
SUSTAINABILITY, CRISIL

tract for solar electricity. While execution of decarbonising strategies will be key, corporates face many obstacles on its way. On the climate front, one of the main challenges in setting science-based net-zero targets is the unavailability of accurate data that takes into account all elements of an organisation’s emissions. Given that many of the Scope 3 emissions are not in direct control of the organisation, and not all of them measure and report them, accounting for all of it is challenging. Moreover, sourcing RE across all locations in different states can be difficult for industries, and to offset their carbon footprint, they might have to design their own projects. Also, modifying their existing setup to achieve carbon neutrality might turn out to be more complicated and capital intensive.

Industry has taken the first steps towards the use of hydrogen fuel, carbon capture, decarbonisation strategies, controlling air pollution, water recycling and the like, but in many cases, technology and costs may appear to be a barrier—especially for decarbonisation. “My experience... tells me that when one begins this journey, there are several reasons to turn back. Costs don’t align, technology is not always available, and regulations are evolving,” says Duggal of Vedanta.

But every cloud has a silver lining. According to Niranjana Banodkar, Chief Financial Officer and Head of Sustainable Finance at YES Bank, these challenges provide a significant opportunity for Indian companies. As they try to meet their net-zero targets, a lot of innovations and a low-cost transition to an emissions-compliant ecosystem can emerge from India, which can then be offered to the rest of the world. What is good for the environment could also be good for business. **BT**

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